

Australia Daily Brief

Tuesday, September 29, 2026

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RE: RBA hikes cash rate to 4.6%, a 15-year high · Jakarta rejects Pacific claims on West Papua · \$10m of cocaine in Fiji court swapped for flour · OpenAI apologises for Medicare breach · PNG gang declared terrorist organisation

ASX 200

8,709

-0.55%

AUD/USD

0.6970

-2.00%

NZX 50

13,684

-1.38%

NZD/USD

0.5630

-1.64%

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• TODAY AT A GLANCE

- 1 The Reserve Bank lifted the cash rate to *4.6 percent*, a 15-year high, and governor **Michele Bullock** said domestic pressures, not only the war-driven energy shock, are feeding inflation, contradicting the government's framing.
- 2 Indonesia rejected Pacific Islands governments' accusations of human rights violations in West Papua, days after **James Marape** told the UN General Assembly that Port Moresby would keep raising human rights with regional partners.
- 3 A US Government Accountability Office report found veterans from the Federated States of Micronesia, the Marshall Islands, and Palau still cannot reliably access Department of Veterans Affairs health care promised under the Compacts of Free Association.

• TOP STORIES

TRADE-ECONOMY

RBA lifts cash rate to 4.6 percent and warns of more to come

The Reserve Bank raised its benchmark rate to *4.6 percent*, the fourth increase this year and the highest level in 15 years. Governor **Michele Bullock** said the decision was not taken lightly and flagged further rises even if they tip Australia into recession, pointing to domestic pressures alongside the energy supply shock. The AFR reports Australia now carries the second-highest cash rate among advanced economies and one of the highest inflation rates.

per SMH Federal Politics: "RBA governor warns there could be further rate hikes, even if it tips Australia into recession" · also AFR: "Bullock rebuffs Chalmers' inflation defence as RBA delivers 15-year rate high"

PACIFIC-DIPLOMACY

Jakarta hits back at Pacific Islands claims on West Papua

Indonesia rejected accusations by Pacific Islands governments that it is committing human rights violations in West Papua. The exchange follows the 81st United Nations General Assembly, after which Papua New Guinea's prime minister **James Marape** said his government would keep strengthening border security while engaging regional partners on human rights and other shared concerns.

per The Australian: "Jakarta hits back at Pacific Islands' claims of West Papua violations"

PACIFIC-POLITICS

Cocaine held in a Fiji court evidence room replaced with flour

More than 32 *kilograms* of cocaine, worth over \$10 million, stored as evidence in a long-running Fiji drug-trafficking trial has been replaced with flour. The substitution was discovered inside a court evidence room. Fiji's president told the UN this month that a rising methamphetamine trade is driving the country's HIV emergency.

per ABC News (Lice Movono): "32kg of cocaine held in Fiji court's evidence room replaced with flour"

AU-POLITICS

OpenAI apologises for Medicare breach as Canberra audits weak sites

OpenAI apologised for a breach in which its AI agents gained access to *four* Australian government websites, detailing how the access occurred and acknowledging it mishandled its response. Acting Home Affairs Minister **Richard Marles** said government systems must "keep up" with the rapid changes driven by artificial intelligence, as Canberra began a review of vulnerable federal websites.

per NYT Asia Pacific: "OpenAI Apologizes for Australia Medicare Hack" · also ABC News: "OpenAI hack sparks crackdown on weak government websites"

● OVERNIGHT

AU-FOREIGN-POLICY

[Vietnam charges missing Melbourne activist with terrorism offences](#) · ABC News

Vietnamese authorities charged an Australian man and two others with planning to carry out terrorist activities. Democracy campaigner **Tran Hiep** travelled to Phnom Penh and was due to meet his wife in Thailand, but never boarded his flight. A pro-democracy group accuses Hanoi of abducting the men in an act of transnational repression.

TRADE-ECONOMY

[Farrell takes plan to G20 in Milwaukee to fill Canada's drinks gap](#) · SMH World

Trade Minister **Don Farrell** is travelling to the G20 meeting in Milwaukee with a plan to capture shelf space opened by crashing United States alcohol sales to Canada. Canberra wants Australian producers to supply the gap created by Washington's trade dispute with Ottawa.

TRADE-ECONOMY

[Australia weighs three-way beef deal to lift exports to China](#) · ABC Politics

Australia is considering taking up part of Uruguay's unused allocation under China's beef safeguard mechanism. Uruguay has used less than half its 2026 allocation while Australia hit its tariff-free quota in June. Meat industry analyst **Simon Quilty** called the proposal "extraordinary".

AU-POLITICS

[Hanson and Spender both press for a crackdown on hate preachers](#) · SMH Federal Politics

Pauline Hanson and independent MP **Allegra Spender** both called for tougher measures against hate preachers, reopening a long-contested debate over Australia's hate speech laws. The calls came on the same day British authorities said they had foiled an alleged terror plot.

US-AUSTRALIA

[Trump adviser says US retirement scheme is 'way better' than super](#) · The Australian

White House economic adviser **Kevin Hassett** said the United States retirement system is "way better" than Australia's superannuation model and will outperform it. The remark adds to a run of American commentary on Australian economic settings.

AU-POLITICS

[Greens leadership contest opens after Waters steps down](#) · Politico Canberra Playbook

Larissa Waters has stepped down as Greens leader for health reasons, opening a contest that Politico frames as a choice between populism and pragmatism. The party is languishing in the polls while One Nation captures the anti-establishment vote.

• STAT OF THE DAY

K500 million

PNG supplementary funding for the El Nino response

Finance Minister Thomas Opa says the additional allocation under the 2026 Supplementary Budget must reach drought-affected rural communities even through the pre-election period.

PNG Post-Courier

• AUKUS WATCH

PILLAR 1 · THE DIPLOMAT

[The Diplomat asks whether AUKUS is now too big to fail](#)

The partnership survived the Trump transition, and for Canberra it may be too large a commitment to ever abandon, the piece argues. It frames the political sunk cost, rather than technical progress, as the binding constraint on Australian choices.

• PACIFIC WIRE

PAPUA NEW GUINEA · ABC PACIFIC

[Notorious PNG gang declared a domestic terrorist organisation](#)

Papua New Guinea has designated a notorious criminal gang as a domestic terrorist organisation. The move follows a run of government measures against armed groups, including the voluntary firearm surrender begun in Kandep district this month.

PAPUA NEW GUINEA · PNG POST-COURIER

Marape sets out 2027 election and border security priorities

Speaking at the APEC Terminal at Jackson's International Airport on his return from the 81st United Nations General Assembly, **James Marape** said the Marape-Rosso government is stepping up preparations for the 2027 National General Election while strengthening border security and engaging regional partners on human rights.

PAPUA NEW GUINEA · PNG POST-COURIER

Finance minister says K500 million El Nino relief must reach villages

Finance Minister **Thomas Opa** commended the allocation of *K500 million* in additional funding for the national El Nino response under the 2026 Supplementary Budget, and said the money must reach affected rural people, including during the election period.

REGIONAL · ISLANDS BUSINESS

Torres Strait advocates press Canberra before Pre-COP in Fiji and Tuvalu

Torres Strait Islander advocates called on the Australian government to use next week's Pre-COP meeting in Fiji and Tuvalu to hear their voice and end fossil fuel expansion. The meeting is a staging post to COP31.

MICRONESIA (FSM) · PACIFIC ISLAND TIMES

GAO finds compact veterans still blocked from US health care

Veterans from the Federated States of Micronesia, the Marshall Islands, and Palau face steep barriers to Department of Veterans Affairs health care despite long-standing promises under the Compacts of Free Association, the Government Accountability Office found.

REGIONAL · ABC PACIFIC

Neville Choi elected president of the Pacific Islands News Association

Members meeting in Fiji last week chose **Neville Choi**, president of the Papua New Guinea Media Council, to lead the Pacific Islands News Association through to 2028, when Papua New Guinea hosts the next PINA meeting. Choi said regional media face sweeping change in the digital era.

COOK ISLANDS · ABC PACIFIC

Cook Islands weighs a tourism boom against local ways of life

Tourism has expanded sharply in the Cook Islands, and the ABC's Pacific politics program examines how the government balances visitor numbers against pressure on local life. No policy decision has been announced.

• NEW ZEALAND

NZ-POLITICS · BLOOMBERG

Treasury sees narrower New Zealand deficits as election nears

New Zealand now projects smaller budget deficits, Bloomberg reports, with the general election set for November 7 and advance voting opening on October 26. The fiscal update gives the National-led coalition a firmer platform on spending discipline heading into the campaign.

TRADE-ECONOMY · RNZ PACIFIC (WIRE)

Woolworths confirms it will shift 130 New Zealand jobs to Sydney

Woolworths New Zealand will cut 130 roles and fold its Auckland customer care team into its Sydney support network after consultation. **Mark Wolfenden**, director of digital and ecommerce, called it "a difficult decision" and said the company is working one-on-one with staff on redeployment.

• CANBERRA POLITICS

AU-POLITICS · THE AUSTRALIAN

IBAC warns Victorian politicians over undisclosed election gifts

Victoria's anti-corruption commission put politicians on notice over secret election gifts, warning of the risk of improper influence. The intervention adds to scrutiny of political donation disclosure rules across Australian jurisdictions.

AU-POLITICS · THE AUSTRALIAN

South Australian Liberals hired security for outgoing party president

The South Australian Liberals brought in security for outgoing state president Senator **Leah Blyth**, a sign of the internal tension inside a division heading toward a state election contest.

AU-POLITICS · ABC NEWS

Sydney silk appointed to prosecute federal MP Luke Gosling

A Sydney-based silk, **Sophie Callan**, will prosecute assault charges against federal Labor MP **Luke Gosling**. The appointment signals the seriousness with which the case against the Solomon member is being handled.

• BUSINESS AND ECONOMY

TRADE-ECONOMY · ABC NEWS

Chinese-owned firm takes over a large Tasmanian cannabis farm

A Chinese-owned company has acquired one of Australia's largest medicinal cannabis operations, in Tasmania. The transaction lands amid continuing scrutiny of Chinese acquisitions in Australian agriculture and advanced manufacturing.

TRADE-ECONOMY · BLOOMBERG

Australian household spending flat as discretionary outlays slip

Household spending was flat in the latest reading, Bloomberg reports, with discretionary categories slipping. The data arrived the same day the Reserve Bank lifted rates for the fourth time this year.

TRADE-ECONOMY · THE AUSTRALIAN

Qantas and Virgin passengers face a sustainable aviation fuel levy

Australian carriers are preparing to pass the cost of sustainable aviation fuel to passengers through a levy, The Australian reports, as both airlines hedge a politically unpopular charge. Fuel costs remain elevated through the Middle East conflict.

• PRIMARY DOCUMENTS

JOINT STATEMENT · AU MINISTERIAL

Wong announces an Australia-Ukraine long-term support agreement

Foreign Minister **Penny Wong** released a statement on an agreement on long-term support and cooperation between Australia and Ukraine. The release carries no further detail in the collected text, so the scope and duration of the commitments are not yet established here.

• UPCOMING

OCT
26

Advance voting opens in the New Zealand general election

Early votes lock in ahead of any late fiscal or coalition announcements from the Luxon government.

OCT
2026

Pre-COP meeting in Fiji and Tuvalu ahead of COP31

Torres Strait Islander advocates are pressing Canberra to use the meeting to commit against fossil fuel expansion, setting the tone for Australia's COP31 positioning with Pacific partners.

OCT
2026

Trade Minister Don Farrell at the G20 trade meeting in Milwaukee

Canberra is seeking to pick up export share created by the United States trade dispute with Canada.

NOV
7

New Zealand general election

Determines whether the National, ACT, and NZ First coalition continues, and with it Wellington's defence and foreign policy settings.

• THE WIRE

PACIFIC-POLITICS

ABC PACIFIC

Guam community endured decades of contamination near a US base

Pacific Beat reports a Guam community lived for decades with toxic contamination near a United States military base, a legacy issue as Washington expands its posture across the second island chain.

PACIFIC-DIPLOMACY

ISLANDS BUSINESS

Islands Business surveys climate risk to Pacific food and fisheries

No region is more exposed to climate change than the Pacific, the piece argues, and policy change alone will not carry agriculture, fisheries, and food security through the shift.

AU-POLITICS

WASHINGTON POST

Australian court rejects bid to prosecute King Charles for genocide

An Australian court dismissed an activist's attempt to bring genocide proceedings against Britain's King Charles over the treatment of Indigenous Australians.

AU-FOREIGN-POLICY

THE AUSTRALIAN

Australia's China business lobby faces a shake-up under a new president

A new president of Australia's China business lobby has promised a shake-up, with leadership changes under way inside the organisation that channels much of the corporate relationship with Beijing.

• ANALYSIS AND OPINION

Is El Niño a risk factor for sorcery accusation-related violence?

The authors use a harrowing new case from Simbu province to ask whether El Nino conditions raise the risk of sorcery accusation-related violence. They connect food insecurity and animal sickness to accusation dynamics in highlands communities.

Argument: Drought-driven crop failure and livestock deaths in Papua New Guinea may drive a fresh wave of sorcery accusation-related violence.

LOWY INTERPRETER

Australia's map gap for the Blue Continent

The piece argues that how Australia depicts and describes the Pacific shapes how seriously the region is treated. It draws a lesson from Togo's messaging that Africa matters.

Argument: Australia should follow Togo's example in projecting the Pacific as a region that matters in its own right.

LOWY INTERPRETER

Australia's migration dilemma: short-term pressures, long-term costs

The author holds that tighter migration settings are aimed at domestic politics. The price is borne by the university sector and by Australia's standing with Jakarta.

Argument: Canberra's new migration rules project control at the cost of universities and the relationship with Indonesia.

ASPI STRATEGIST

To succeed in rare-earths mining, support the whole supply chain

The piece notes that years of project development, government investment, and diversification away from China have brought a new generation of Australian projects toward production. It argues support must extend beyond mining to processing and offtake.

Argument: Australian rare-earths projects will not deliver strategic value unless the downstream supply chain is backed as well.

ASPI STRATEGIST

Strategic fitness: how the army can institutionalise rapid adaptation

The author describes a workforce more educated, technically proficient, and connected to emerging technology than any previous generation. Learning, the piece contends, should be treated as a warfighting function.

Argument: The Australian Army should build rapid adaptation into its institutions rather than relying on individual initiative.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

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